

HEROMOTOCO — Hero MotoCorp Ltd

Sector: Consumer Discretionary | Sub-sector: Two Wheelers

Hero Moto Corp earlier also known as \"Hero Honda\" is one of India's first motorcycle manufacturers. The company started in 1984 as a Technological collaboration with Honda, Japan. Before this collaboration, Hero was selling Cycles under the brand name, Hero Cycles.

ROE	ROCE	NPM	D/E	FCF (Cr)	Rev CAGR 5Y
21.1%	173.7%	9.9%	0.03	3,095	2.2%

10-Year Financial Trend

Year	Revenue	Profit	ROE	ROCE	FCF
2015-03	27,538	2,364	36.1	353.6	2,217
2016-03	28,457	3,112	35.2	260.2	1,422
2017-03	28,610	3,546	34.4	222.4	2,035
2018-03	32,458	3,722	31.1	217.6	2,159
2019-03	33,971	3,466	26.4	210.9	2,330
2020-03	29,254	3,659	25.4	163.8	2,699
2021-03	30,959	2,936	19.0	163.7	1,821
2022-03	29,551	2,329	14.7	155.6	1,882
2023-03	34,158	2,800	16.8	170.5	2,193
2024-03	37,789	3,742	21.1	173.7	3,095

Financial health score: 44.6 | Band: Moderate

Balance Sheet & Cash Flow Intelligence

Recent Balance Sheet

Year	Equity	Debt	Assets	Liabilities
2021-03	15,416	584	23,096	23,096
2022-03	15,847	605	22,478	22,478
2023-03	16,656	568	23,917	23,917
2024-03	17,699	606	26,153	26,153
2024-09	19,011	588	29,261	29,261

Recent Cash Flow

Year	CFO	CFI	CFF	Net Cash
2020-03	5,518	-2,819	-2,602	97
2021-03	4,110	-2,289	-1,852	-31
2022-03	2,104	-222	-1,975	-94
2023-03	2,614	-421	-2,147	45
2024-03	4,923	-1,828	-2,717	379

Capital allocation: Reinvestor / Returns

CFO quality score: 100 | CapEx intensity: 4.8% | FCF conversion: 9.5%

Pros

ROE above 20% in the latest available year.; Positive free cash flow in the latest available year.; Free cash flow has remained positive for five consecutive years.; Operating cash flow exceeds reported profit, supporting earnings quality.; Interest coverage exceeds 5x.

Cons

No configured risk threshold was triggered; review the underlying KPIs.

